

ECON1010 Introductory Microeconomics

Tutorial 7 | The Quest for Profits



This Week in ECON1010

CML 3 is due **tomorrow** 4.00pm April 21

CLEAR-JE 3 is due **this week** 4.00pm April 23

CML 4 opens **this week** 9.00am April 22

Assessment

85% **7**

75% **6**

65% **5**

50% **4**

47% **3**

30% **2**

0% **1**

CMLs (25%)

- Computer Managed Learning
- Each worth 5%
- Best 5/6 count towards final grade

CLEAR-JE (20%)

- Contextualised Learning of Economics via Authentic Reflection using Journal Entries
- Each worth 10%
- Best 2/3 count towards final grade

Final Exam (55%)

Tools and Resources

I need HELP...

1. **Ed Discussion Board**
(Blackboard)
2. **Consultation** (8.00am
Mon, 39-125A)
3. **Staff email**
econ1010@uq.edu.au

I REALLY need HELP...

- <https://my.uq.edu.au/contact/student-central>

ECON1010 Consult Timetable

Semester 1 2026

Time	Mon	Tue	Wed	Thu	Fri
8:00-8:30	CONSULT - SAM 39-125A				
8:30-9:00					
9:00-9:30					
9:30-10:00					
10:00-10:30				CONSULT - LUCAS 39-125A	
10:30-11:00					
11:00-11:30	CONSULT - GABE 39-125A	CONSULT - BORIS 39-125A	CONSULT - IKMAL 39-125A	CONSULT - NIK 39-125A	CONSULT - CARL 39-641
11:30-12:00					
12:00-12:30					
12:30-13:00					
13:00-13:30					LECTURE
13:30-14:00		CONSULT - DYLAN 39-125A			
14:00-14:30				CONSULT - GUANCHU 39-125A	
14:30-15:00					
15:00-15:30					
15:30-16:00					
16:00-16:30			CONSULT - KIRTAN 39-125A	CONSULT - NANDAN 39-125A	
16:30-17:00					
17:00-17:30					

Student Central

Need help? We've got you covered.

Contact us

Monday to Friday

- ✉ Email
- ☎ 1300 275 870 (8.30am-5pm)
- 📍 Building 42, St Lucia
- 📍 Building 8101A, Gatton

Chat – 1:51 (1 Minute) wait

Emergency help

For immediate risk:

- UQ Campus Security
- ☎ 07 3365 3333 (24/7)

Off-campus emergency

- ☎ 000 (24/7)

Crisis support

For urgent mental health support:

- UQ Counselling and Crisis Line
- ☎ 1300 851 998 (24/7)

Text a Crisis Counsellor

- ☎ 0488 884 115 (4.30pm-8am)

Sexual Misconduct Support Unit (SMSU)

The Quest for Profits

Question 1a

In your own words:

- i) Why do economists make use of economic profit?
- ii) How will firms react when positive economic profits are being made in an industry?
- iii) What does Adam Smith's invisible hand theory predict will happen to markets where firms make a positive economic profit?
- iv) Why is economic profit usually \$0 (Normal Profit)?

Remember

Accounting Profit

= *Revenue – Explicit Costs*
(e.g. wages, rent, electricity)

Economic Profit

= *Accounting Profit – Implicit Costs*
(opportunity costs)

Normal Profit

= *\$0 Economic Profit*



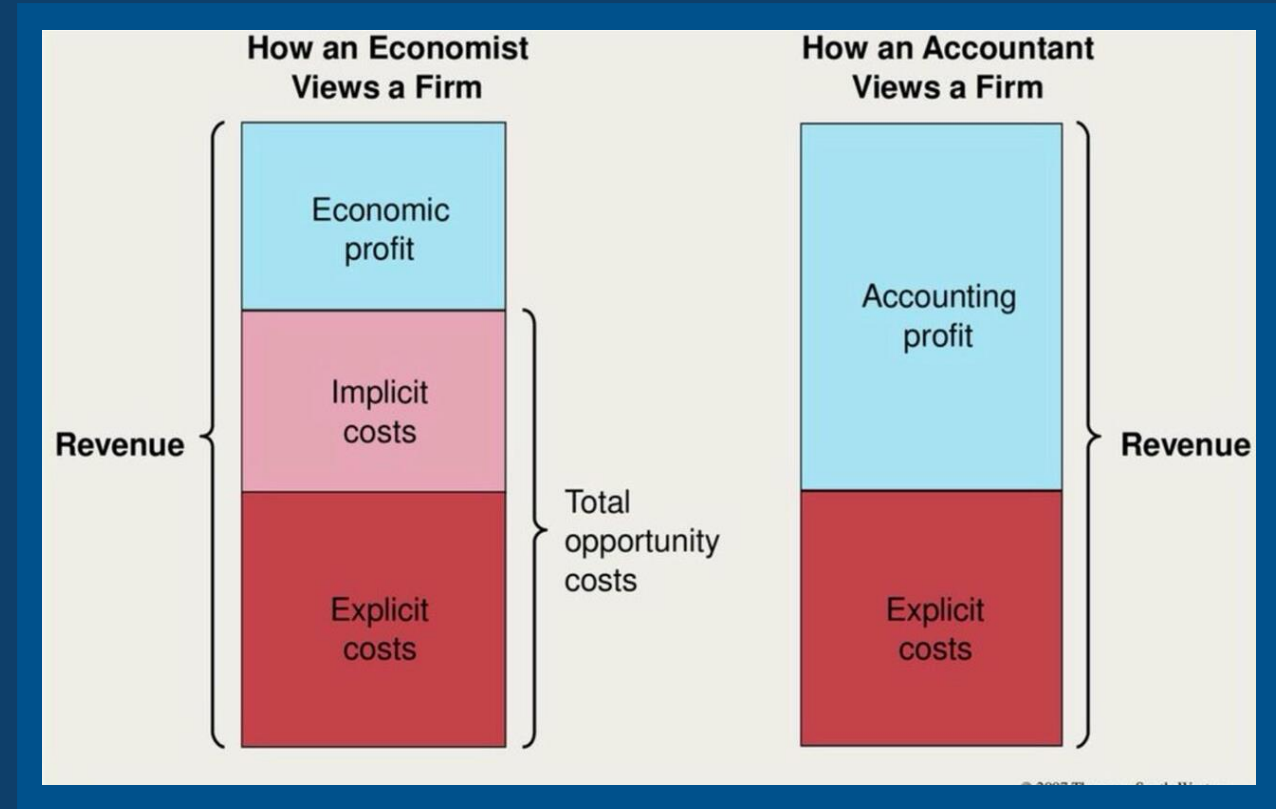
Question 1a

i) Why do economists make use of economic profit?

Economic profit is more informative from a decision making perspective with respect to the efficient allocation of scarce resources. Economic profit reveals more than accounting profit as it incorporates implicit costs such as opportunity cost (eg: the cost of giving up your current job, or the lost value from enjoyment of some other activity forgone).

ii) How will firms react when positive economic profits are being made in an industry?

When there are positive economic profits, more firms will enter the industry.



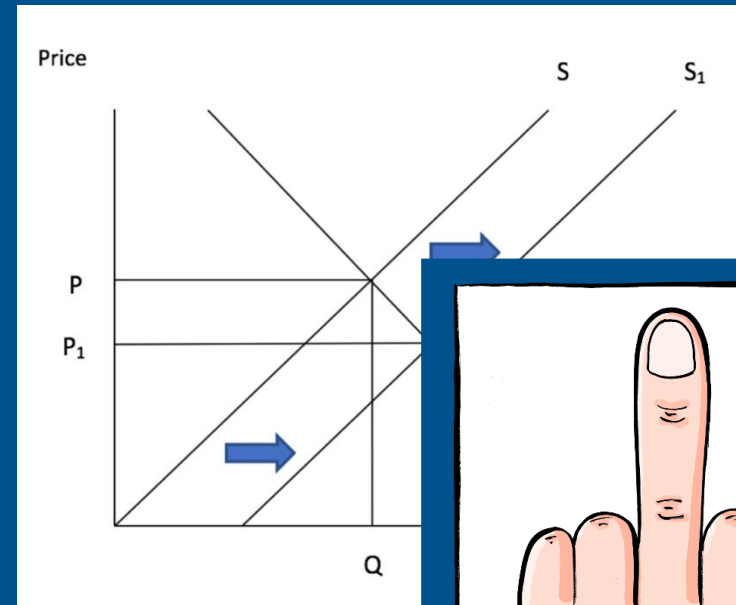
Question 1a

iii) What does Adam Smith's invisible hand theory predict will happen to markets where firms make a positive economic profit?

As more firms enter the industry, supply increases. Invisible hand theory says that the increase in supply (with increasing quantity supplied) will create downward pressure on price until supply reaches equilibrium with demand. The reduced price will decrease profits until economic profit equals \$0.

iv) Why is economic profit usually \$0 (Normal Profit)?

As industries with economic profit encourage new firms to enter (which increases supply, and in turn decreases price and profit in the long-run), economic profit will typically reduce down to \$0. \$0 economic profit, put simply, means firms earn an accounting profit equal to the opportunity cost (a reflection of what they are giving up) for operating in that particular industry.



ADAM SMITH'S
INVISIBLE HAND
(2011 EDITION)



Question 1b

Consider the following statements and explain why they are true or false.

- i) Firms in competitive environments make no accounting profit when the market is in longrun equilibrium.
- ii) Individual firms in competitive environments that can introduce cost-saving innovations can make an economic profit in the short-run.
- iii) Individual firms in competitive environments that can introduce cost-saving innovations can make an economic profit in the long-run.



Question 1b

i) Firms in competitive environments make no accounting profit when the market is in longrun equilibrium.

False. Accounting profit is necessary for any business to survive in the long-run. Economic profit, however, normally reduces to \$0 in the long-run. This means that these firms will make an accounting profit equal to the opportunity cost of operating in that market.

ii) Individual firms in competitive environments that can introduce cost-saving innovations can make an economic profit in the short-run.

True. In the short-run, other individual firms won't have time to switch industries and adopt the existing individual firm's cost-saving innovations. Firms with lower costs will make more profit. So if we assume the firms introducing cost-saving innovations were previously operating at \$0 economic profit, they will now be receiving positive economic profit (ie: greater than \$0).

iii) Individual firms in competitive environments that can introduce cost-saving innovations can make an economic profit in the long-run.

False. As new firms will be able to enter the industry and adopt the cost-saving innovations in the long-run, all firms' economic profit will return to \$0 as supply increases.

Question 2a

Baby-sitting is a popular way for university students to earn money across Australia. Patricia, a UQ student, is one of many university students providing this service.

- i) Draw the market supply and demand curves for the baby-sitting market across Australia (with axes labelled).
- ii) Draw the demand and costs curves (MC, ATC, AVC) for Patricia to show her earning an economic profit (with axes labelled).

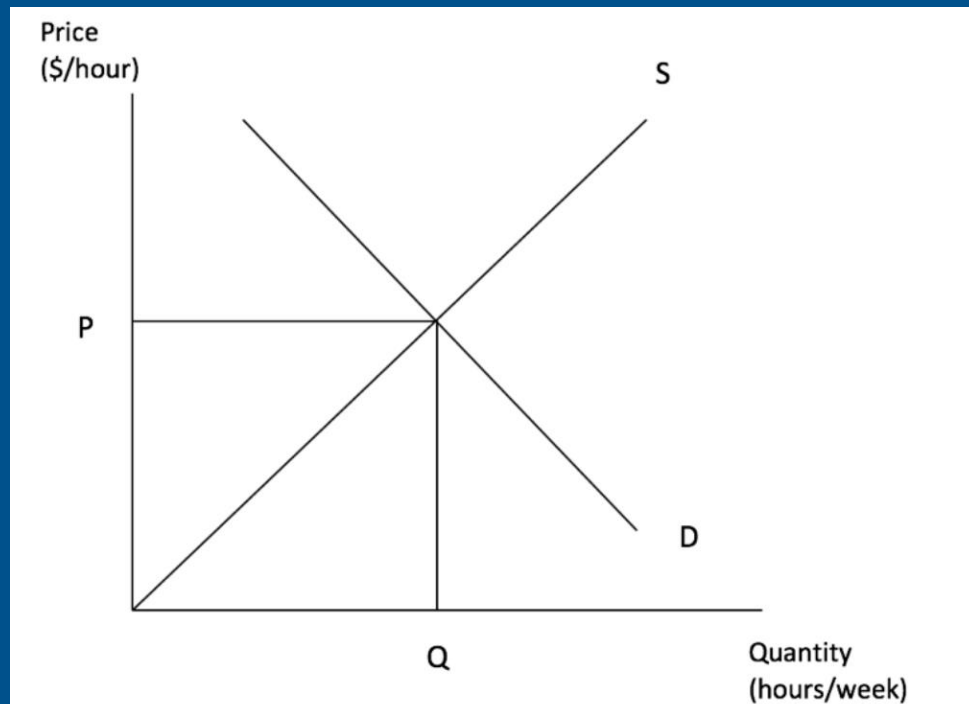
When news of the profitability of baby-sitting spreads throughout UQ, a lot more students decide to spend their evenings baby-sitting.

- iii) Show how this affects the baby-sitting market using your graph from part i).
- iv) Show how this affects Patricia in the long-run using your graph from part ii)

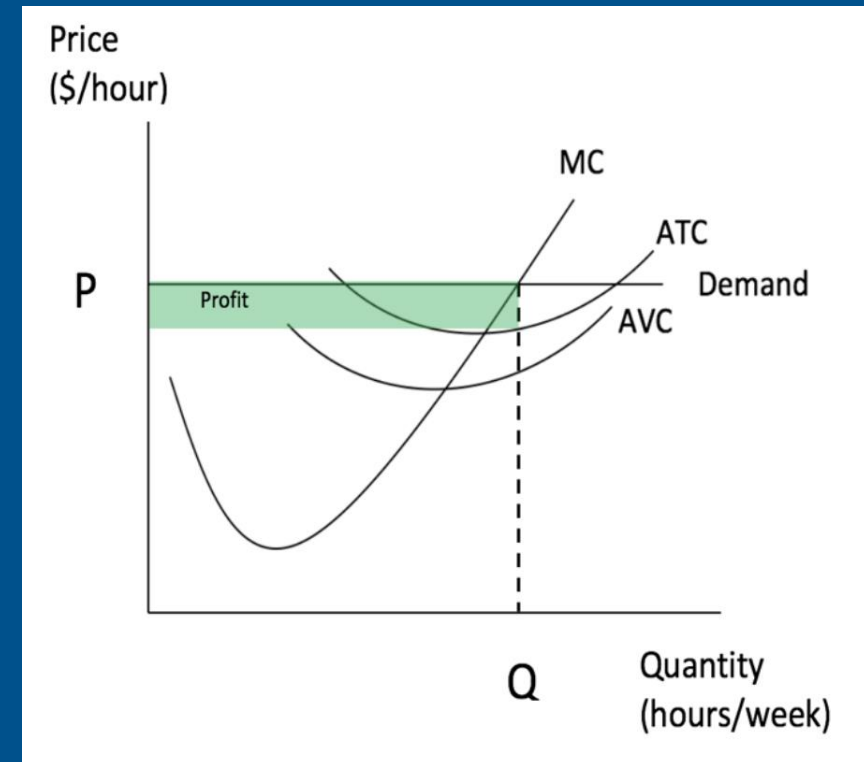


Question 2a

i) Draw the market supply and demand curves for the baby-sitting market across Australia (with axes labelled).

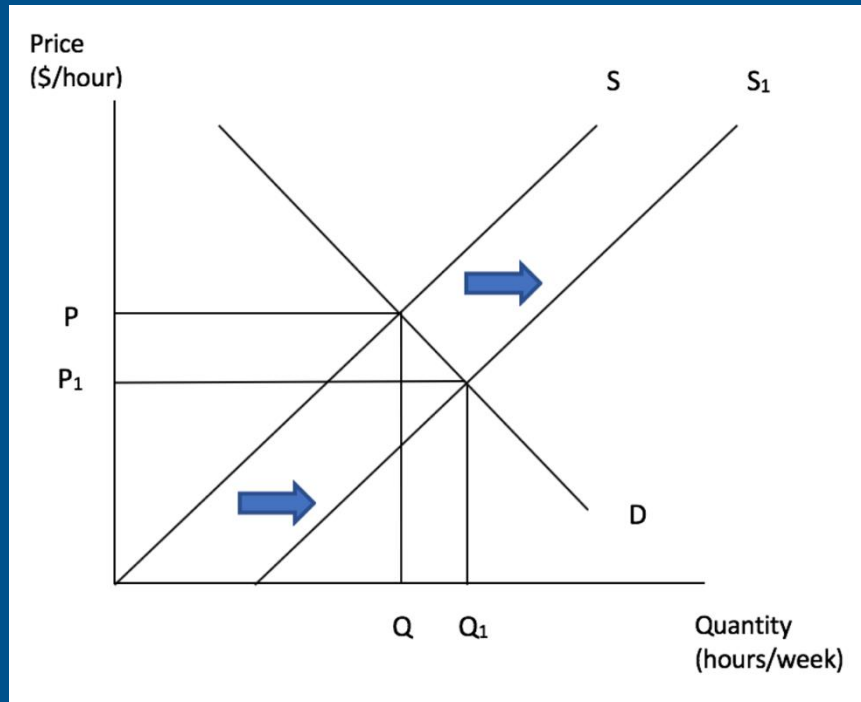


ii) Draw the demand and costs curves (MC, ATC, AVC) for Patricia to show her earning an economic profit (with axes labelled).



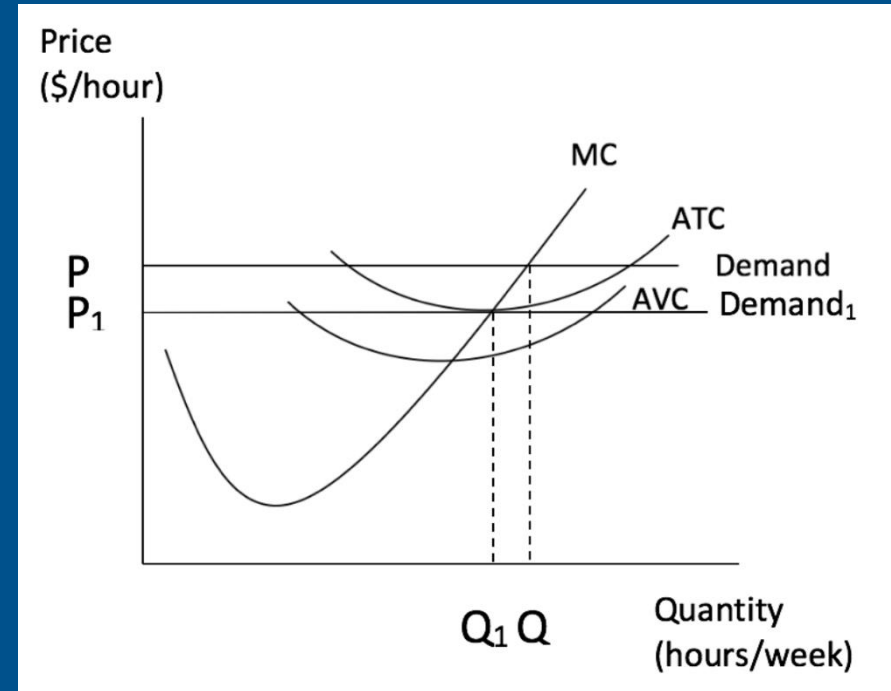
Question 2a

iii) Show how this affects the baby-sitting market using your graph from part i).



As market supply increases from S to S_1 :
Price decreases from P to P_1 and Quantity increases from Q to Q_1

iv) Show how this affects Patricia in the long-run using your graph from part ii)



As price has fallen from P to P_1 , demand also falls from D to D_1 . The result in the long-run is:

1. Patricia's output decreases from Q to Q_1
2. Her economic profit falls to \$0

Question 2b

Patricia graduated from UQ Economics and began working for a major economic research firm – helping business and government solve their hardest social and financial challenges. Patricia was earning \$76,000 per year before she decided to leave the research firm and start her own consulting business. This consulting business pays a part time assistant \$12,000 per year, spends \$24,000 per year on rent and utilities, and earns \$120,000 in total annual revenue.

In her consulting business, what are Patricia's:

- i) explicit costs
- ii) opportunity cost
- iii) economic profit/loss



Question 2b

i) explicit costs

Costs that would appear in the accounting books (i.e. payments) are \$36,000 in total, from: \$12,000 per year for part time assistant \$24,000 per year for rent and utilities

ii) opportunity cost

\$76,000 per year for working with major economic research firm

iii) economic profit/loss

Economic Profit = Benefits – Explicit Costs – Implicit Costs

Economic Profit = \$120,000 - \$36,000 - \$76,000

Economic Profit = \$8,000 per year



Question 2b

After running her own business for several years, Patricia realises she loves the freedom of being her own boss (extra vacations, family time etc). She considers these benefits to be worth an extra \$15,000 per year in monetary terms. Today, the number of consulting businesses in Brisbane has grown considerably and Patricia's revenue has fallen to \$100,000 per year. She still has the option of returning to her economic research firm for \$76,000 per year. Her explicit costs remain unchanged.

Now in her own consulting business, what are Patricia's:

- iv) explicit and implicit costs
- v) benefits (explicit and implicit)
- vi) economic profit/loss



Question 2b

iv) explicit and implicit costs

Explicit Costs: \$36,000 per year (part time assistant and rent & utilities)
Implicit costs: \$76,000 per year (working with major economic research firm)

v) benefits (explicit and implicit)

Explicit Benefit: \$100,000 per year (revenue)
Implicit Benefit: \$15,000 per year (freedom of being own boss)

vi) economic profit/loss

Economic Profit = Benefits – Explicit Costs – Implicit Costs
Economic Profit = (\$100,000 + \$15,000) - \$36,000 - \$76,000
Economic Profit = \$3,000 per year



Question 3

a) Through discussion with your friend, think of and compare:

A company that has shut down: _____

An industry that has boomed: _____

i) How did the invisible hand affect the company's closure?

ii) Following the industry's boom, what follow-on effects have been created due to the invisible hand?



Thank You

Next week: Imperfect Competition - Monopoly

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